capacity of KLIS from 2 TMC of water a day to 3 TMC, awarding additional contracts worth Rs 28,000 crore to Megha Engineering and Infrastructure Ltd (MEIL). The Congress alleges the BRS regime made a killing from the enhanced contracts, pointing to how it had, in some 19 days, revised the design of civil works at the pump house, approach channel and delivery mains to accommodate the augmented pumping capacity. The government had kept even the CWC in the dark about how preparations to lift 3 TMC had started in 2016, even though the detailed project report (DPR) was submitted only in 2018.

The CAG has also expressed doubts over the viability of the Rs 3,653 crore pressurised piped irrigation system (PPIS). The government initially awarded the work for Rs 2,042 crore, but hiked it by about Rs 1,500 crore though no additional area was brought under cultivation. Then irrigation minister T. Harish Rao (KCR's nephew) claimed it would help avoid water evaporation losses. But the CAG says the cost of PPIS works out to Rs 7,465 per acre against the open canal system's Rs 1,196 per acre. Further, annual electricity charges to operate PPIS will be Rs 3,778 per acre.

Power charges, in fact, are likely to be a huge bane. The CAG says peak power demand to lift water from 22 pump houses would be 8,500 MW, or 46 per cent of the state's installed capacity. The project will need Rs 10,647 crore a year to meet energy charges (including fixed charges).

The project's operation and maintenance (O&M) costs are also huge. The CAG reports peg them at Rs 273 crore a year, with a depreciation of Rs 2,800 crore per annum. The irrigation department reportedly signed O&M contracts with Navayuga Engineering Company Ltd (which built the Sundilla barrage) and Afcons Infrastructure (which built Annaram) in July 2023. For Medigadda, L&T says the original contract did not specify O&M terms. All this means that if things pan out as the DPR suggests, when completed in its entirety, water from the KLIS will be the most expensive supplied by an irrigation project anywhere in the world.

RUNAWAY COSTS

KLIS has 3 barrages, 14 reservoirs, 31 lifts and over 1,800 km of canals, pipelines, tunnels

₹1.47 lakh cr.
Estimated final cost of KLIS project, against **Rs 81,911 crore**, the cost projected to the CWC

₹1.42 lakh cr.
needed by the state in the next 14 years—ranging from Rs 712.44 cr. to Rs 14,462 .15 cr. a year—for debt servicing

₹47,000 cr.
Off budget borrowings since 2016-17 used to fund project (**73%** of the expenditure incurred)

₹17,653 cr.
spent arbitrarily on pumps, motors and auxiliary equipment without assessing market rates

₹10,647 cr.
Estimated power charges (including fixed charges) for **14,344 mn** units a year

₹2,685 cr.
'Possible undue benefit' accrued to contractors

40,288 acres
Current command area of the project, against a target of **1.83 mn** acres

Source: CAG and expert committee report. Some figures are estimates for when project is complete

The Political Battle

"KCR has done phenomenal disservice to Telangana, leaving us with this huge financial burden," says irrigation minister N. Uttam Kumar Reddy. "The people's money will have to be spent for another 20 years if we are to run a viable KLIS." The Congress is also accusing the BRS of diverting attention from the KLIS crisis by creating a ruckus over the handing of the irrigation projects to the Krishna River Management Board. KCR's son and BRS working president K.T. Rama Rao, though, will have none of it. "Just because Medigadda has some issues, saying the entire KLIS project is a failure is nothing but a conspiracy. If there are any problems, it is for the government to set them right," he says. Indeed, the government has few options other than to salvage KLIS, considering the huge costs incurred and the elaborate canal system that has been laid out.

The Congress government seems determined to fix responsibility, though it is likely to be a long-drawn process. Irrigation department chief engineer C. Muralidhar and KLIS chief engineer N. Venkateshwarlu have already been shown the door. KCR had handpicked both and they were continuing in the posts after superannuation. More heads are likely to roll in the coming months.

On February 9, the Revanth Reddy government also approached the Telangana High Court with a request for a judicial probe. Union tourism minister and state BJP chief G. Kishan Reddy, who got the National Dam Safety Authority to investigate the piers that sank last year, maintains that only a CBI inquiry will lay bare all the facts. For that, however, Telangana has to lift the restrictions the BRS regime had imposed on the central agency. With the Congress wary of the BJP's penchant for misusing the CBI's powers, it's a road the party may not go down right now. ■